Tarang Pharma Distribution: Field Expense Policy (v3.2)

Applies to all field staff (Medical Representatives, Senior Medical Representatives, Area Sales Managers). Finance owns this policy.

1. How a claim is made

- Every expense is claimed separately in the Tarang Expense app, with one photo of the original bill.
- The rep enters the expense date, the category, the vendor, the amount and a short comment. The app records the photo's file name at upload.
- Claims are reimbursed weekly, after a finance clerk has checked them.

2. What can be claimed

- **Fuel.** Actuals for field days, own two-wheeler (Area Sales Managers: own car). The bill must show the vehicle number.
- **Food.** Meals with doctors or stockists up to Rs 2,500 per bill without prior approval. Field meals at actuals.
- **Lodging.** Outstation nights only. Grades M1 and M2: up to Rs 3,000 per night before GST. Grade M3: up to Rs 4,500. Hotel bills must be GST tax invoices in the employee's name.
- **Local travel.** Cab or auto at actuals, with the driver's receipt.
- **Courier.** Samples and documents, at actuals.
- **Parking.** At actuals. Daily parking near clinics is expected for Nagpur city reps.

3. Receipts

- The claim amount is the amount on the bill. Rounding to the nearest Rs 10 is accepted.
- A bill is claimed **once**, by the person who paid it. A shared bill is claimed once, by the payer.
- A bill must not be altered in any way. Notes written on a bill (doctor's name, number of people, "paid") are allowed.
- A claim without a readable bill photo is queried back to the rep.

4. How Finance checks a claim today

1. A clerk opens the photo and types the vendor, bill date, bill number, amount and GSTIN (if printed) into the accounts system.
2. The clerk compares the bill with the claim and approves it, queries it back to the rep, or rejects it, with a note.
3. Approved claims are paid in the weekly run.

5. Costs Finance uses

- Two finance clerks, loaded cost Rs 38,000 a month each.
- Typing and checking one claim takes about 3.5 minutes on average.
- A claim queried back to a rep costs about Rs 45 in clerk and rep time, and delays the rep's payment by a week.
- An amount paid out wrongly is recovered from salary only if it is found within the same quarter. In practice, little is found.

6. Volumes

- About 2,400 photo claims a month across the company (about 160 field staff).
- The Nagpur division (16 people) is about a tenth of that.
- About nine in ten claims are under Rs 2,000.

7. Proposed change (Finance, draft for discussion)

Once the app can read the bill from the photo, claims under Rs 2,000 are approved automatically and paid in the weekly run. Clerks check only claims of Rs 2,000 and above.

8. Misconduct

Claiming a bill twice, claiming a colleague's bill, or altering a bill is a disciplinary matter. The amount is recovered from salary.